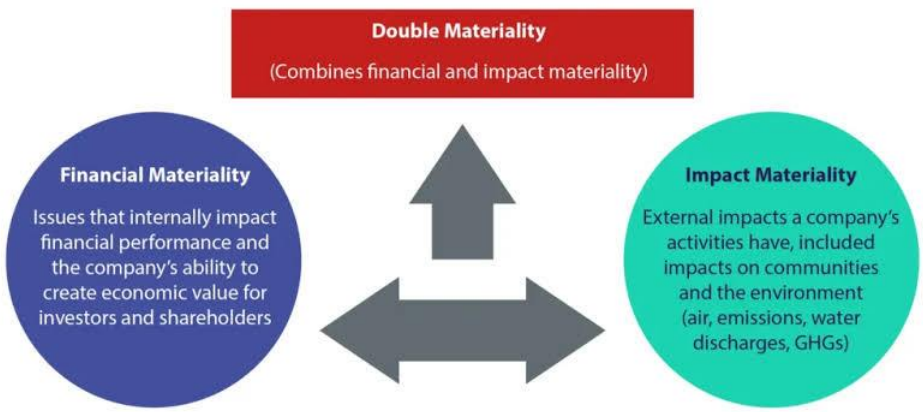
The **business entity concept** states that **the transactions associated with a business must be separately recorded from those of its owners or other businesses**. Doing so requires the use of separate accounting records for the organization that completely exclude the assets and liabilities of any other entity or the owner. In general, **any business or revenue-generating organization** is considered to be an accounting entity—filing its own taxes and preparing its own financial statements. These can include corporations, sole proprietorships, partnerships, clubs, and trusts, as well as individual taxpayers.

Cost Concept-It refers to **the amount of payment made to acquire any goods and services**. In a simpler way, the concept of cost is a financial valuation of resources, materials, risks, time and utilities consumed to purchase goods and services. Cost concept requires that all the assets must be recorded in the books of accounts at the price at which they were bought, which involves the cost

incurred for transportation, installation and acquisition.

The **going concern concept** is **a fundamental principle of accounting**. It assumes that during and beyond the next fiscal period a company will complete its current plans, use its existing assets and continue to meet its financial obligations. Going concern is an accounting term for **a company that has the resources needed to continue operating indefinitely until it provides evidence to the contrary**. This term also refers to a company's ability to make enough money to stay afloat or to avoid bankruptcy. This term also refers to **a company's ability to make enough money to stay afloat or to avoid bankruptcy**. If a business is not a going concern, it means it's gone bankrupt and its assets were liquidated. As an example, many dot-coms are no longer going concern companies after the tech bust in the late 1990s.

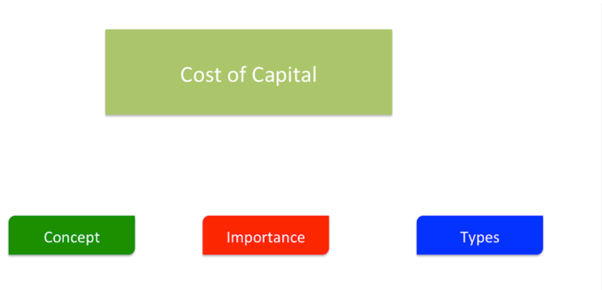
Materiality concept in accounting refers to **the concept that all the material items should be reported properly in the financial statements**. Material items are considered as those items whose inclusion or exclusion results in significant changes in the decision making for the users of business information. Materiality in accounting refers to the relative size of an amount, and the impact it makes on the financial statements. In the accounting process, accountants deem relatively large sums of money to be material. This means they have a significant impact on the company's finances. The concept of materiality works as a filter through which management sifts information. Its purpose is **to make sure that the financial information that could influence investors' decisions is included in the financial statements**.



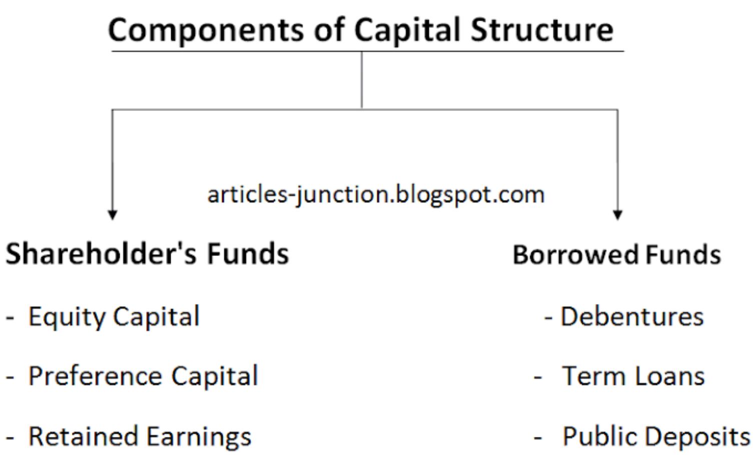
- **types of financial ratios ?** Liquidity Ratios. ...
- Solvency Ratios. ...
- Profitability Ratios. ...
- Efficiency Ratios. ...
- Coverage Ratios. ...
- Market Prospect Ratios.

A **solvency ratio measures how well a company's cash flow can cover its long-term debt**. Solvency ratios are a key metric for assessing the financial health of a company and can be used to determine the likelihood that a company will default on its debt. A solvency ratio examines a firm's ability to meet its long-term debts and obligations. The main solvency ratios include the **debt-to-assets ratio, the interest coverage ratio, the equity ratio, and the debt-to-equity (D/E) ratio**.

Cost of capital is **the minimum rate of return or profit a company must earn before generating value**. It's calculated by a business's accounting department to determine financial risk and whether an investment is justified.



various constituents of capital market? Major constituents are **Stock Exchanges, Domestic Institutional Investors (DII), Foreign Institutional Investors (FII) and small investors**. The degree of risk is small in the money market. The risk is much greater in securities market.



Estimate the **cost of equity** by **dividing the annual dividends per share by the current stock price, then add the dividend growth rate**. In comparison, the capital asset pricing model considers the beta of investment, the expected market rate of return, and the Rf rate of return. Consider company A trades on the S&P 500 at a 10% rate of return. Meanwhile, it has a beta of 1.1, expressing marginally more volatility than the market. Presently, the T-bill (risk-free rate) is 1%. Using the capital asset pricing model (CAPM) to determine its cost of equity financing, you would apply Cost of Equity = Risk-Free Rate of Return + Beta × (Market Rate of Return – Risk-Free Rate of Return) to reach 1 + 1.1 × (10-1) = 10.9%

. The **cost of equity** is **the return that a company requires to decide if an investment meets capital return requirements**. Firms often use it as a capital budgeting threshold for the required rate of return.

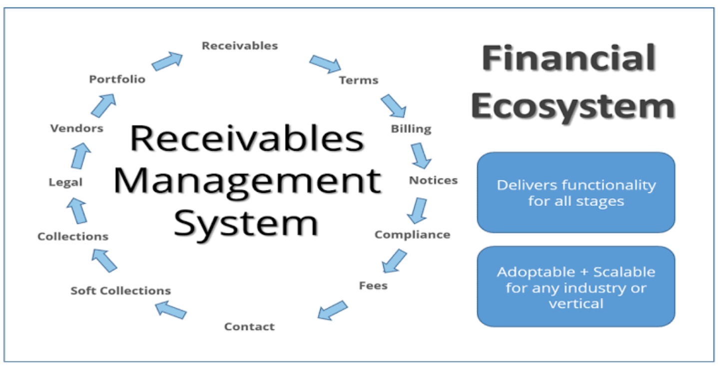
Equity capital is **funds paid into a business by investors in exchange for common or preferred stock**. This represents the core funding of a business, to which debt funding may be added. Equity is equal to **total assets minus its total liabilities**. You can figure out how much equity you have in your home by **subtracting the amount you owe on all loans secured by your house from its appraised value**. **Total Equity = Total Assets – Total liabilities**.Total assets also equals to the sum of total liabilities and total shareholder funds. Total Assets = Liabilities + Shareholder Equityread more as the sum of total liabilities and equities.

Working capital = **current assets – current liabilities**. Net working capital = current assets (minus cash) - current liabilities (minus debt). Operating working capital = current assets – non-operating current assets. Non-cash working capital = (current assets – cash) – current liabilities. Working capital is calculated by subtracting current liabilities from current assets, as listed on the company's balance sheet. Current assets include cash, accounts receivable and inventory. Current liabilities include accounts payable, taxes, wages and interest owed. **Types of Working Capital**

- Permanent Working Capital.
- Regular Working Capital.
- Reserve Margin Working Capital.
- Variable Working Capital.
- Seasonal Variable Working Capital.
- Special Variable Working Capital.
- Gross Working Capital.

Net Working Capital.There are two concepts of working capital viz . **quantitative and qualitative**. Some people also define the two concepts as gross concept and net concept. According to quantitative concept, the amount of working capital refers to 'total of current assets'. **Sources of working capital-**Long-term working capital sources include **long-term loans, provision for depreciation, retained profits, debentures and share capital**. Short-term working capital sources include dividend or tax provisions, cash credit, public deposits and others.

Receivable management is **a process of managing the account receivables within a business organization**. Account receivables simply mean credit extended by the company to its customers and are treated as liquid assets. It involves taking decisions regarding the investment to be made in trade debtors by organization.**Receivable management** refers to **the planning and monitoring of debt owed to the firm from a customer account**. Professionals working in finance and accounting departments such as finance managers may use this concept to grow sales and increase profits. The. objective of receivables management is "to promote sales and profits until that. point is reached where the return on investment in further funding of receivables is less than the cost of funds raised to finance that additional credit" . **importance** - Receivable management **helps increase sales resulting in increased profitability**. Businesses can extend credit facilities to their customers which will help them boost their sales volume, as more customers would avail this facility by purchasing products on a credit basis.



Simply put, a **credit policy** is a set of guidelines that sets credit and payment terms for customers and establishes a clear course of action for late payments. A good policy will generally do four things: Determine which customers are extended credit and billed. The goals of credit policy are :

1) Achieving growth in sales,

2) Increasing profits,

3) Maintaining liquidity,

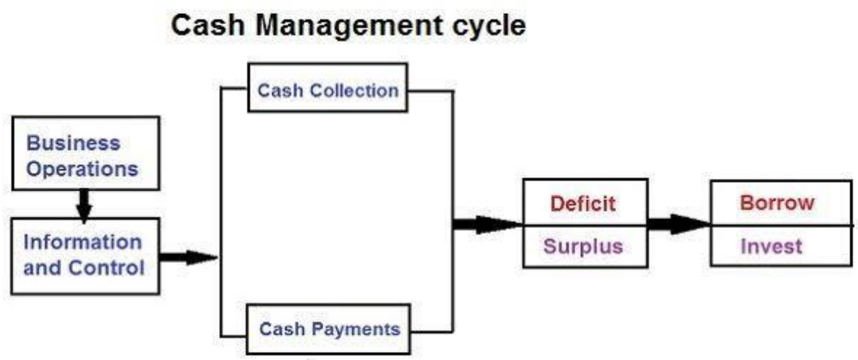
4) Meeting conipetition.The following are important variables of credit policy: **1) Credit Standard; 2) Credit Period; 3) Cash Discount; and 4) Collection Efforts**. 1) **Credit standards re**fers to **the minimum criteria adopted by a firm for the purpose of short listing its customers for extension of credit during a period of time**. The nature of credit standard followed by a firm can be directly linked to changes in sales and receivables. The **credit period** is **the number of days that a customer is allowed to wait before paying an invoice**. The concept is important because it indicates the amount

of working capital that a business is willing to invest in its accounts receivable in order to generate sales. The credit period can also be referred to as the average collection period. It is found by **dividing the number of days in a period, in this case, a year, by the receivables turnover for that same time period**.

Cash discounts refer to **an incentive that a seller offers to a buyer in return for paying a bill before the scheduled due date**. In a cash discount, the seller will usually reduce the amount that the buyer owes by either a small

percentage or a set dollar amount. Cash discounts refer to **an incentive that a seller offers to a buyer in return for paying a bill before the scheduled due date**. In a cash discount, the seller will usually reduce the amount that the buyer owes by either a small percentage or a set dollar amount. **Collection Efforts** Can Be AggressiveSome of the drastic actions a creditor might be able to take against you include: **Receiving a judgment against you**. Garnish your wages. Levy your bank accounts. Repossess or foreclose on certain assets.

Cash management, also known as treasury management, is **the process that involves collecting and managing cash flows from the operating, investing, and financing activities of a company**. In business, it is a key aspect of an organization's financial stability. It begins with the movement of materials for manufacturing areas and continues with the production of finished goods. Then it follows to the storage, order receiving and fulfillment, and the cycle of accounts receivable. A cash management system is **used to forecast, track, and report**

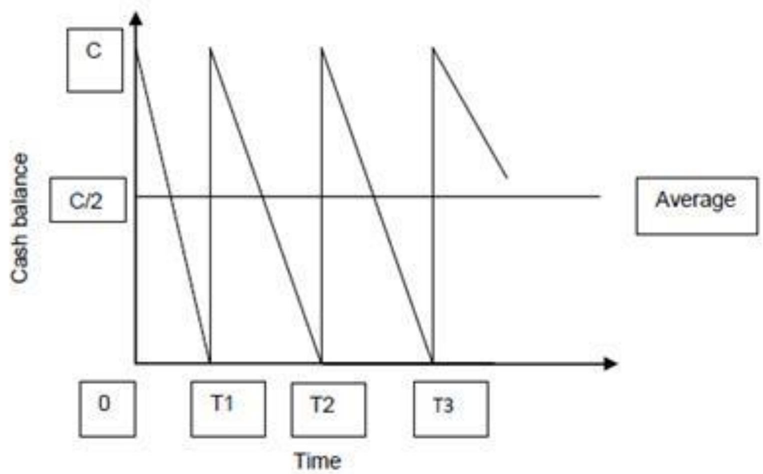


corporate cash flows. The solution is especially helpful to manage cash flows (including in various currencies) across multiple, including international, company branches and across complex bank account structures. **Types of Cash Management**

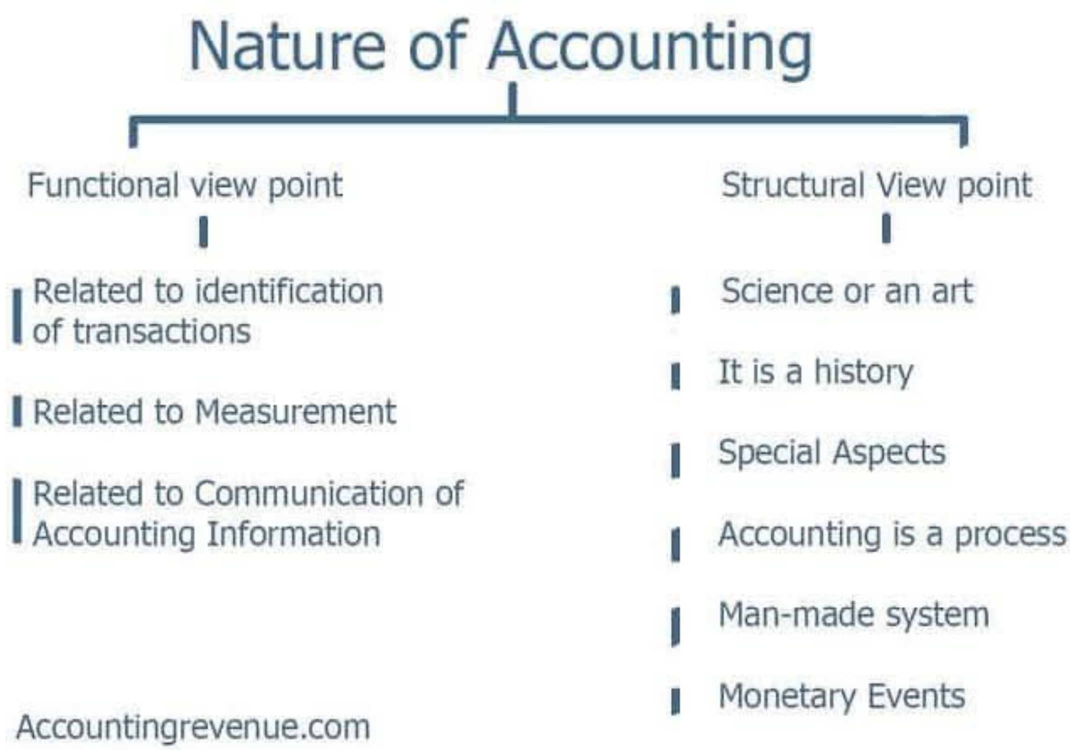
- 1: Cash flows from operating activities.
- 2: Free cash flow to equity.
- 3: Free cash flow to the firm.
- 4: The net change in cash.

Cash holding is defined as **cash held by the company as cash in hand or available for investment in physical assets and distributes them to investors**. Cash Holdings means all cash and cash equivalents, including funds held in checking accounts, savings accounts, money market accounts, treasury securities, debt securities with maturities of one year or less, and government bonds with maturities of one year or less. If you hold too much of your wealth in cash, **you won't be able to keep pace with inflation**, meaning your purchasing power will go down and it will be more difficult for you to achieve your goals. The reason the value of cash savings falls in real terms is inflation. **motives-** The precautionary motive for holding cash is based on the **need to maintain sufficient cash to act as a cushion or buffer against unexpected events**. A firm should maintain larger cash balance than required for day to day transactions in order to avoid any unforeseen situation arising because of insufficient cash. **These are as follows:**Transaction motive: ...Precautionary motive : ...Speculative motive: ...Compensation motive:

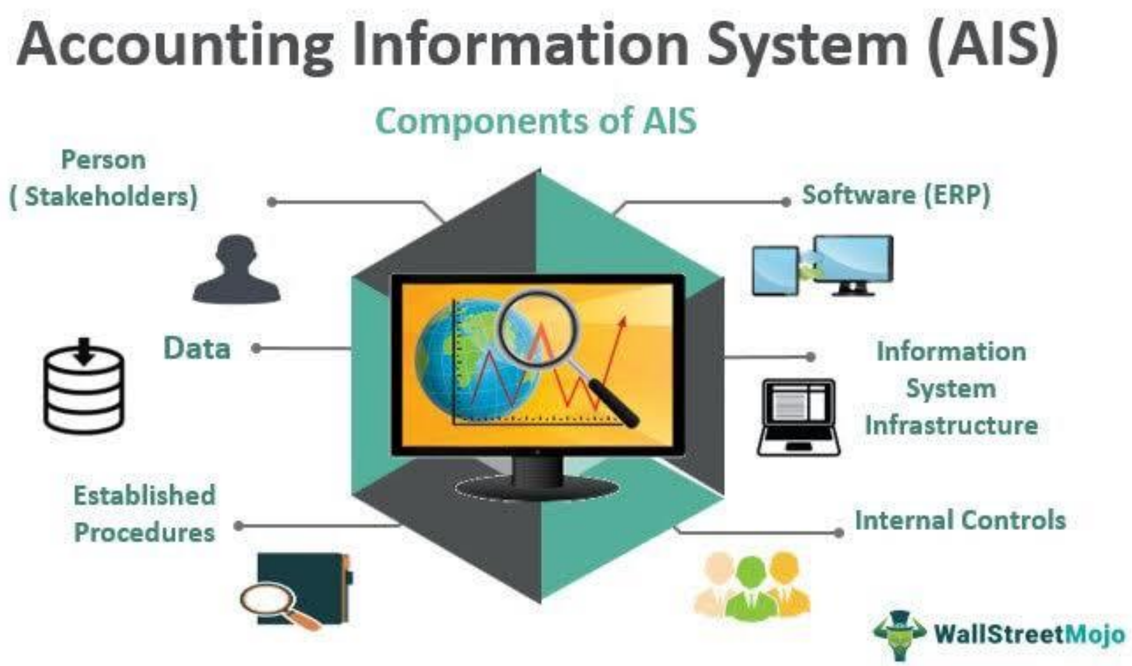
Baumol proposed a model similar to EOQ for cash management too. The model **helps in determining the cash conversion size which means how much cash should be arranged by selling marketable securities in each transaction**. Baumol model is an approach to establish a firm's optimum cash balance under certainty. As such, **firms attempt to minimise the sum of the cost of holding cash and the cost of converting marketable securities to cash**. The Baumol model **aims to determine the optimum amount of cash that is held under conditions of certainty**. The objective of this model is to minimise the sum of the costs of transactions (selling investments or borrowing money short-term) and the opportunity cost of holding cash balances.



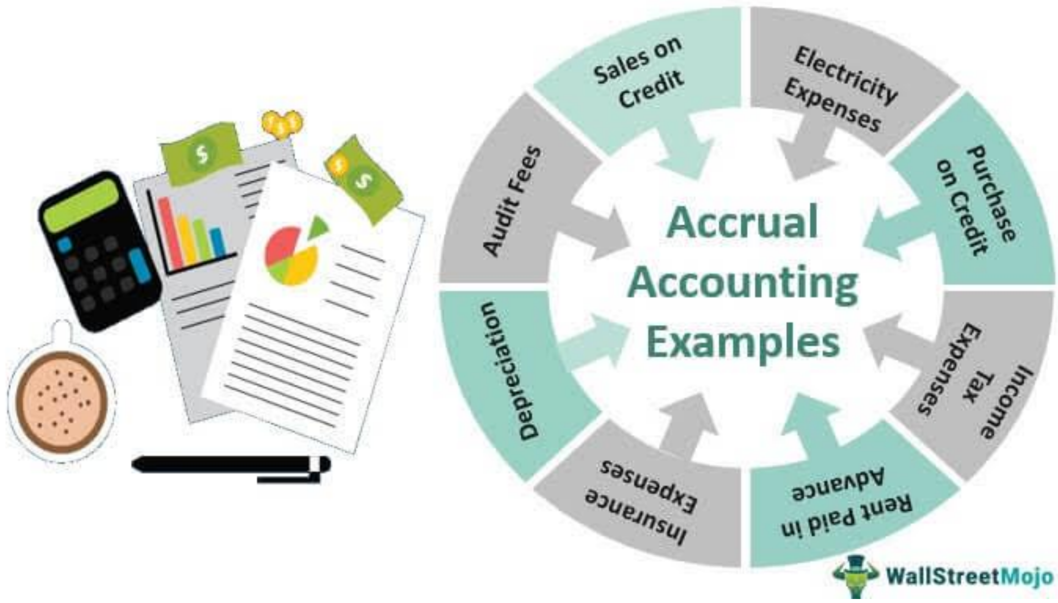
<u>Nature of Accounting-</u>Accounting can be defined as **the act of classifying and summarising money-related matters in a detailed manner that can be easily interpreted**. This definition highlights both the nature and scope of financial accounting. The main functions of accounting are to **store and analyze financial information and oversee monetary transactions**. Accounting is used to prepare financial statements for a company's employees, leaders, and investors. Accounting also functions to ensure the payment of funds into and out of a company. Accounting is identified as **a process as it performs the specific task of collecting, processing and communicating financial information**. In doing so, it follows some definite steps like collection of data recording, classification summarization, finalization and reporting. **Accounting's history can be traced back thousands of years to the cradle of civilisation in Mesopotamia and is said to have developed alongside writing, counting and money**. The early Egyptians and Babylonians created auditing systems, while the Romans collated detailed financial information.



An **accounting as an information system** (AIS) is a system of **collecting, storing and processing financial and accounting data that are used by decision makers**. An accounting information system is generally a computer-based method for tracking accounting activity in conjunction with information technology resources. An accounting information system (AIS) involves the collection, storage, and processing of financial and accounting data used by internal users to report information to investors, creditors, and tax authorities. Accounting information has an impact on decision making by **helping stakeholders, creditors and other users to evaluate past and future events**. Thus, it confirms or corrects pre-decided expectations.



The **accrual** principle is **an accounting concept that requires transactions to be recorded in the time period in which they occur, regardless of when the actual cash flows for the transaction are received**. An accrual is **a journal entry that is used to recognize revenues and expenses that have been earned or consumed, respectively, and for which the related cash amounts have not yet been received or paid out**. **When transactions are recorded in the books of accounts as they occur even if the payment for that particular product or service has not been received or made**, it is known as accrual based accounting. For example, **if a company has a savings account that earns interest, the interest that has been earned but not yet paid would be recorded as an accrual on the company's financial statements**. **used**?Accrual accounting generally **makes the relationships between revenue and expenses clearer, providing better insight into profitability**. It also offers a more accurate picture of a company's assets and liabilities on its balance sheet.



The **conservatism concept i**s a concept in accounting which refers to the idea that expenses and liabilities should be recognised as soon as possible in a situation where there is uncertainty about the possible outcome and in contrast record assets and revenues only when they are assured to be received. **Example Let us assume that a company XYZ Ltd. is embroiled in a patent lawsuit.** XYZ Ltd. is suing ABC Ltd for patent infringement and is expecting to win a substantial settlement. Since the settlement is not a surety, XYZ Ltd. does not record the gain in the financial statements. Accounting conservatism is **a principle that requires company accounts to be prepared with caution and high degrees of verification**. All probable losses are recorded when they are discovered, while gains can only be registered when they are fully realized.

The **periodicity** assumption states that **an organization can report its financial results within certain designated periods of time**. This typically means that an entity consistently reports its results and cash flows on a monthly, quarterly, or annual basis. The periodicity assumption, or time period assumption, is an important concept in accounting that **allows businesses to categorize their transactions into distinct periods of time**. This assumption is necessary in order for businesses to generate accurate financial statements. Once the standard periods have been set up for financial reporting, accounting procedures are designed to support the ongoing and standardized production of financial statements for the designated periods. This means that a schedule of activities will mandate when accruals are to be posted, as well as the standard structure of the resulting journal entries.

Fund flow statements-A fund flow refers to the inflow and outflow of funds or assets for a company and is often measured on a monthly or quarterly basis. A fund flow statement **reveals the reasons for these changes or anomalies in the financial position of a company between two balance sheets**. A fund flow statement is **a statement prepared to analyse the reasons for changes in the financial position of a company between two balance sheets**. It portrays the inflow and outflow of funds i.e. sources of funds and applications of funds for a particular period. The main aim of preparing a fund flow statement is **to cite the reasons for changes in the liabilities, assets, or equity capital**. It is done by comparing the two balance sheets for different accounting periods. The balance sheet gives a static view of the company's financial position. Cash Flow Analysis is more useful for identifying and correcting the liquidity problems of the firm. Funds Flow Statement tallies the funds generated from various sources with various uses to which they are put. Cash Flow Statement starts with the Opening Balance of Cash and reaches to the Closing Balance of Cash. It is calculated by **deducting interest income and gains on asset sales from net income for the period and adding interest expense, depreciation, and losses on asset sales**.

Fund Flow Statement

Particulars	Amount
Sources of Funds:	
Funds from Operations	×××
Sale of Fixed Assists	×××
Sale of Investments	×××
Issue of Shares	×××
Issue of Debentures	×××
Long Term Borrowings	×××
Total (A)	**×××**
Application of Funds:	
Loss from Operations	×××
Payment of Dividend	×××
Payment of Taxes	×××
Purchase of Fixed Assets	×××
Repayment of Loans	×××
Redemption of Debentures	×××
Redemption of Preference Shares	×××
Total (B)	**×××**
Net Increase or Decrease in Working Capital (A-B)	**×××**

source and application of funds statement?A sources and uses of funds statement, often referred to as a flow of funds report, **provides a mechanism for reporting how a farm's performance during an accounting period influenced and was influenced by major funding activities**. Application of Funds: **The proceeds received by the Company from the sale of Stock pursuant to the exercise of Options or rights under Stock Purchase Agreements** will be used for general corporate purposes. The main sources of funding are **retained earnings, debt capital, and equity capital**. Companies use retained earnings from business operations to expand or distribute dividends to their shareholders. Businesses raise funds by borrowing debt privately from a bank or by going public (issuing debt securities).

Capital budgeting is a multi-step process businesses use to determine how worthwhile a project or investment will be. A company might use capital budgeting to figure out if it should expand its warehouse facilities, invest in new equipment, or spend money on specialized employee training.

The capital budgeting process consists of five steps:**1. Identify and evaluate potential opportunities**

The process begins by exploring available opportunities. For any given initiative, a company will probably have multiple options to consider. For example, if a company is seeking to expand its warehousing facilities, it might choose between adding on to its current building or purchasing a larger space in a new location. As such, each option must be evaluated to see what makes the most financial and logistical sense.

2. Estimate operating and implementation costs

The next step involves estimating how much it will cost to bring the project to fruition. This process may require both internal and external research. If a company is looking to upgrade its computer equipment, for instance, it might ask its IT department how much it would cost to buy new memory for its existing machines while simultaneously pricing out the cost of new computers from an outside source. **3. Estimate cash flow or benefit**

Now we determine how much cash flow the project in question is expected to generate. One way to arrive at this figure is to review data on similar projects that have proved successful in the past. If the project won't directly generate cash flow, such as the upgrading of computer equipment for more efficient operations, the company must do its best to assign an estimated cost savings or benefit to see if the initiative makes sense financially.**4. Assess risk**

This step involves estimating the risk associated with the project, including the amount of money the company stands to lose if the project fails or can't produce its previously anticipated results. Once a degree of risk is determined, the company can evaluate it against its estimated cash flow or benefit to see if it makes sense to pursue implementation.

5. Implement

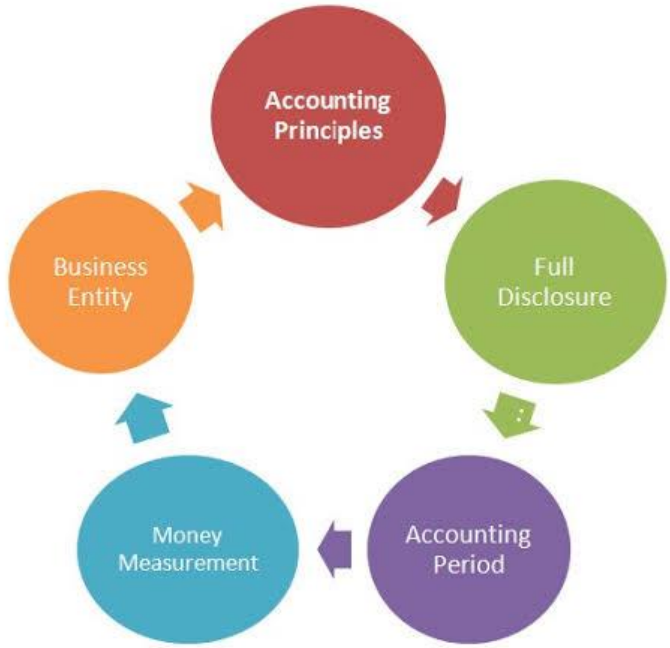
If a company chooses to move forward with a project, it will need an implementation plan. The plan should include a means of paying for the project at hand, a method for tracking costs, and a process for recording cash flows or benefits the project generates. The implementation plan should also include a timeline with key project milestones, including an end date if applicable.

Investment decision refers to financial resource allocation. Investors opt for the most suitable assets or investment opportunities based on risk profiles, investment objectives, and return expectations.Firms have limited financial resources; therefore, the top-level management undertakes capital budgeting and fund allocation into long-term assets. Managers overseeing business operations opt for short-term investments to ensure liquidity and working capital. Investment decisions are also influenced by the frequency of returns, associated risks, maturity periods, tax benefits, volatility, and inflation rates.

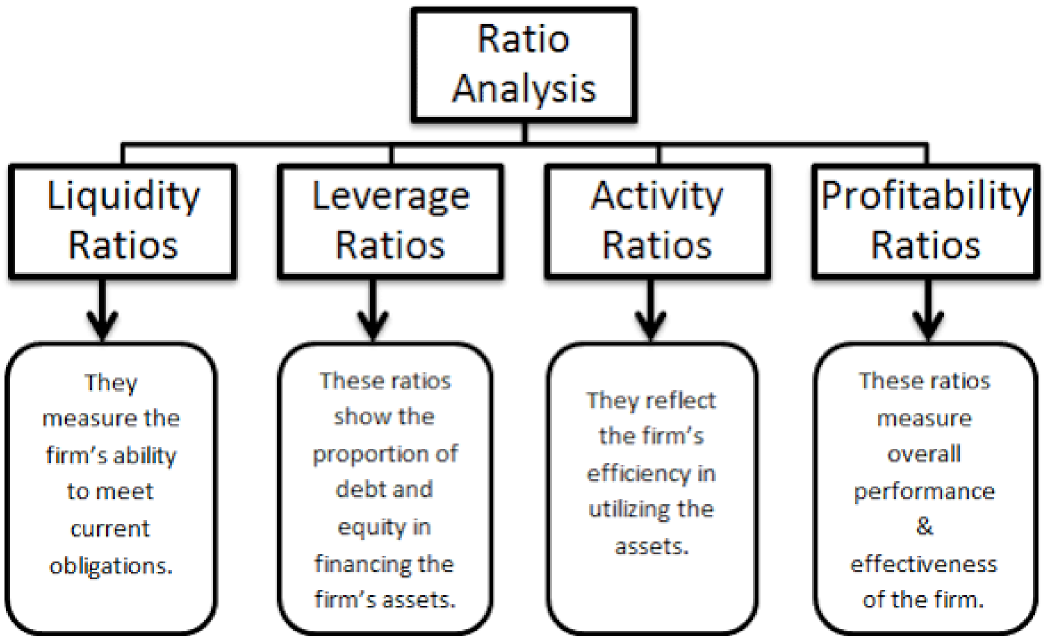
Investment decisions are of two types- **short-term and long-term**. A long-term investment decision is also known as a Capital Budgeting decision. Short-term investment decisions deal with the decisions about the levels of cash, inventory, and receivables. They are also known as Working capital decisions.

Techniques -Payback Period, Net Present Value Method, Internal Rate of Return, and Profitability Index are the methods to carry out capital budgeting.

The **money measurement concept** states that **a business should only record an accounting transaction if it can be expressed in terms of money**. This means that the focus of accounting transactions is on quantitative information, rather than on qualitative information. Money measurement concept is also known as Measurability Concept, which states that **during the recording of any financial transactions, those transactions should not be recorded which cannot be expressed in terms of monetary value**. A company uses the money measurement concept as a medium for recording transactions involving assets, obligations, damages, earnings, and investments. It is useful in creating and displaying the statement of financial position and the Profit and Loss report.



Ratio analysis is **an accounting method that uses financial statements, like balance sheets and income statements, to gain insights into a company's financial health**. Ratio analysis will help determine various aspects of an organization including profitability, liquidity and market value. Ratio analysis is referred to as **the study or analysis of the line items present in the financial statements of the company**. It can be used to check various factors of a business such as profitability, liquidity, solvency and efficiency of the company or the business. Ratio analysis is important for the company **to analyze its financial position, liquidity, profitability, risk, solvency, efficiency, operations effectiveness, and proper utilization of funds**. Ratio analysis can be defined as the process of ascertaining the financial ratios that are used for indicating the ongoing financial performance of a company using a few types of ratios such as liquidity, profitability, activity, debt, market, solvency, efficiency, and coverage ratios and few examples of such ratios ...



Activity ratios are **used to determine the efficiency of the organisation in utilising its assets for generating cash and revenue**. It is used to check the level of investment made on an asset and the revenue that it is generating.

Activity ratios are **financial metrics used to gauge how efficient a company's operations are**. The term can include several ratios that can apply to how efficiently a company is employing its capital or assets. **Types of Activity Ratios**

- Total Assets Turnover Ratio.
- Fixed Assets Turnover Ratio.
- Current Assets Turnover Ratio.
- Working Capital Turnover Ratio. Stock Turnover ratio. Debtor Turnover ratio. Creditors Turnover ratio.

Formulas-*Total Asset Turnover Ratio = Revenue / Average Total Assets*

- *Fixed Asset Turnover Ratio = Revenue / Average Fixed Assets*

- *Working Capital Turnover Ratio = Revenue / Average Working Capital*

Liquidity ratios are **a measure of the ability of a company to pay off its short-term liabilities**. Liquidity ratios determine how quickly a company can convert the assets and use them for meeting the dues that arise. The higher the ratio, the easier is the ability to clear the debts and avoid defaulting on payments. **Types of liquidity ratios**

- Current Ratio = Current Assets / Current Liabilities.
- Quick Ratio = (Cash + Accounts Receivable) / Current Liabilities.
- Cash Ratio = (Cash + Marketable Securities) / Current Liabilities.
- Net Working Capital = Current Assets – Current Liabilities.

Leverage ratio is one of the most important of the financial ratios as **it determines how much of the capital that is present in the company is in the form of debts**. It also analyses how the company is able to meet its obligations. leverage ratios: **Debt-to-Assets Ratio = Total Debt / Total Assets**. Debt-to-Equity Ratio = Total Debt / Total Equity. Debt-to-Capital Ratio = Today Debt / (Total Debt + Total Equity)

Profitability ratio-A high ratio represents a positive return in the company and better the company is. Formula: Net Profit ÷ Sales × 100 **Net Profit = Gross Profit + Indirect Income – Indirect Expenses** Example: Particulars. Amount. It is calculated by **dividing the net profit earned by outstanding shares**. Having higher EPS translates into more profitability for the company. **Margin or profitability ratios**

- Gross Profit = Net Sales – Cost of Goods Sold.
- Operating Profit = Gross Profit – (Operating Costs, Including Selling and Administrative Expenses)
- Net Profit = (Operating Profit + Any Other Income) – (Additional Expenses) – (Taxes)

significance and limitations?

Ratio Analysis is **a process of determining and interpreting relationships between the items of financial statements**. Its purpose is to provide a meaningful understanding of the performance and financial position of an enterprise. Thus, it is a technique for analyzing the financial statements by computing ratios.

A **capital expenditure** budget is **a formal plan that states the amounts and timing of fixed asset purchases by an organization**. This budget is part of the annual budget used by a firm, which is intended to organize activities for the upcoming year. **process**?A Capital Expenditure is **the amount used during a particular period to acquire or improve long-term assets such as property, plant or equipment**. A Capital Asset is a long-term asset that is not purchased or sold in the normal course of business. **How do you evaluate a capital expenditure proposal?**

Various methods for doing this exist:

- payback period (expected time to recoup the investment)
- accounting rate of return (forecasted return from the project as a portion of total cost)
- net present value (expected cash outflows minus cash inflows)
- internal rate of return (average anticipated annual rate of return)

Advantage -Capital expenditures carry both benefits and risks. Investing in capex can **improve the efficiency of a firm, can allow firms to gain a competitive edge**, while at the same time they may fail to perform as expected, resulting in losses that could have been allocated elsewhere. From a long-term financial planning perspective, CapEx analysis **helps leaders understand whether an asset offers an attractive rate of return**. That way, companies can balance maintaining existing equipment and property with having enough capital to invest in growth **Disadvantage** -Capital expenses require substantial upfront financial investment and **can limit your company's cash flow**. Engaging in these types of long-term commitments can make it challenging for businesses to evolve over time. Receiving a return on investment could take several years to recoup. Capital expenditures are often **difficult to reverse without the company incurring losses**. Most forms of capital equipment are customized to meet specific company requirements and needs. The market for used capital equipment is generally very poor. **Capital budgeting decisions are for the long term and are majorly irreversible in nature**. These techniques are mostly based on estimations and assumptions as the future will always remain uncertain.